

NRF Center
for Digital Risk & Innovation

NRF Retail Fraud Taxonomy

Version 2.0

July 14, 2026

PREPARED BY

NRF National
Retail
Federation



RETAIL & HOSPITALITY
ISAC



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Executive Summary

Retail fraud has evolved into a highly organized, adaptive, and technology-driven threat. What was once mostly opportunistic theft or isolated policy abuse has become coordinated organized criminal activity involving cyber intrusions, social engineering, account compromise, supply chain abuse, marketplace exploitation, and crowdsourced retail crime.

Today's fraud actors operate across both physical and digital environments. They exploit gaps between ecommerce platforms, stores, fulfillment systems, customer service operations, payment systems, and third-party marketplaces. These groups quickly adapt tactics, share knowledge online, use automation and anonymity tools, and often specialize in different stages of fraud operations. The growing overlap between cybercrime, financial fraud, and organized retail crime has created a complex threat landscape that is difficult to track and defend against using traditional methods alone.

At the same time, fraud is often defined and categorized differently across retailers, fraud teams, cybersecurity teams, investigators, vendors, and law enforcement. Similar schemes may be labeled inconsistently, creating operational inefficiencies, limiting intelligence sharing, complicating trend analysis, and slowing response efforts.

The retail industry needs a common operational framework and shared language to consistently identify, analyze, detect, and mitigate fraud activity.

Introduction

The NRF Retail Fraud Taxonomy is an industry-driven knowledge framework designed to standardize how retail fraud techniques, behaviors, mitigations, and detection strategies are described and understood.

Developed collaboratively by the National Retail Federation (NRF), the Retail & Hospitality Information Sharing and Analysis Center (RH-ISAC), Target Corporation, industry partners, and supported by the Chertoff Group, the Taxonomy establishes a shared structure for analyzing fraud activity across retail environments.

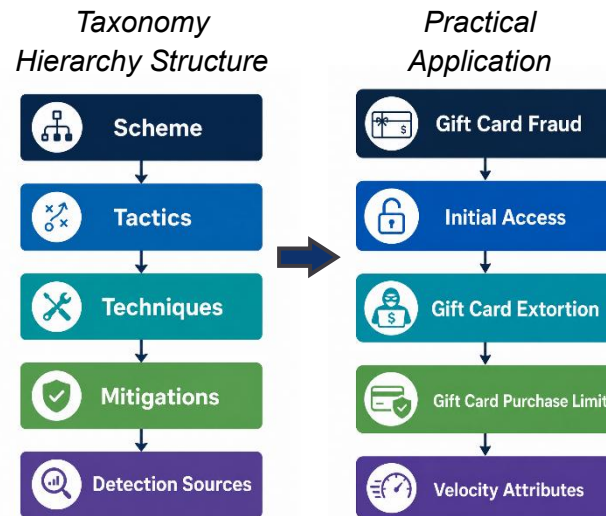


The framework organizes fraud operations into a hierarchy structure:

This structure enables organizations to better understand how fraudsters operate, how attacks progress through various stages of execution, and where defensive controls can most effectively disrupt fraudulent activity.

The NRF Retail Fraud Taxonomy provides a shared framework and common language for the retail industry. It helps organizations communicate more consistently, improve coordination across teams, share intelligence at scale, and strengthen fraud detection and disruption efforts across the broader retail ecosystem.

Inspired by proven cybersecurity intelligence frameworks, the Taxonomy represents more than a catalog of fraud techniques. It is designed to serve as a foundational framework for the retail fraud ecosystem — enabling a more structured, intelligence-driven approach to fraud prevention and collaboration across the industry. It provides defenders with a repeatable methodology for describing fraud behaviors, identifying operational trends, evaluating security controls, improving detection capabilities, prioritizing investments, and strengthening cross-industry collaboration.



The Retail Fraud Lifecycle

Retail fraud is rarely a single isolated action as most modern fraud operations involve a sequence of coordinated activities to achieve a financial objective. Fraud techniques are evolving faster than traditional defensive models can adapt. Automation tools, anonymization services, breached credential databases, proxy infrastructure, AI-generated content, and fraud-as-a-service communities have lowered the barrier and enabled sophisticated fraud activity. Techniques that were once limited to highly capable actors are now widely accessible, repeatable, and rapidly shared across online criminal ecosystems. **This evolution has created several critical challenges for the retail industry:**

1. Fraud activity spans multiple business units and operational domains
2. Threats increasingly blend physical and digital attack vectors
3. Organizations often classify and describe fraud differently
4. Intelligence sharing lacks standardized structure and terminology
5. Fraud trends are difficult to measure consistently across the industry
6. Defensive capabilities are often fragmented between teams and technologies

Without a common operational framework, organizations struggle to effectively correlate fraud activity, prioritize defenses, compare trends, and share actionable intelligence.

The Taxonomy models fraud activity across a typical fraud attack lifecycle of tactics:



This lifecycle-oriented approach enables organizations to better understand:

- How fraud schemes develop
- How individual techniques connect together
- Where defensive controls are most effective
- How operational telemetry can be used to identify malicious behavior earlier in the fraud chain

By mapping fraud techniques to tactics, mitigations, and detection sources, organizations can move beyond reactive investigations toward more proactive and intelligence-driven fraud defense strategies.

Audience	Use Case
Fraud Teams	Investigations & case management Use standardized terms to document, analyze, and manage fraud cases consistently.
SOC/CTI Teams	Threat detection and intelligence Apply consistent classification to detect patterns, enrich intelligence, and improve threat visibility.
Engineering	Control design Use the taxonomy to map threats to controls and build more effective, targeted solutions.
Executives	Risk prioritization Leverage consistent data to understand exposure, prioritize investments, and measure impact.
Retail Operations	Store training Translate fraud schemes and behaviors into clear, actionable training for frontline teams.
Vendors	Product evaluation Use a common framework to assess solutions and ensure alignment with industry needs.
Law Enforcement	Common terminology Enable clear communication and information sharing across organizations and jurisdictions.

Using the Taxonomy

This framework is designed to support a broad range of stakeholders across the retail fraud ecosystem. While each group approaches fraud from a different operational perspective, a shared framework and common terminology help improve coordination, streamline investigations, strengthen detection capabilities, and support more effective risk management.

By aligning fraud operations, cybersecurity, engineering, retail operations, vendors, and law enforcement around a common structure, organizations can improve intelligence sharing, accelerate response efforts, and create more consistent fraud mitigation strategies across both physical and digital environments.

Additional Use Case(s)

- **Support Threat Modeling and Exercises:** Simulate realistic fraud scenarios and operational workflows to improve preparedness and incident response coordination.
- **Prioritize Security Investments:** Evaluate defensive coverage against known fraud techniques to better allocate resources toward the highest-risk threats and operational gaps.
- **Enhance Information Sharing:** Enable more effective collaboration between retailers, fraud teams, cybersecurity professionals, solution providers, and law enforcement through structured intelligence sharing.
- **Evaluate Technologies and Vendors:** Assess products, detection platforms, and fraud prevention capabilities against a standardized set of observed fraud techniques and operational behaviors.
- **Testing:** Simulate known techniques and campaigns to generate realistic testing scenarios that evaluate how well an organization's defenses can mitigate or detect specific types of schemes.

Future Vision

The NRF Retail Fraud Taxonomy is intended to be a living framework that evolves alongside the retail threat landscape. As fraud techniques continue to adapt and industry collaboration expands, the framework will continue to incorporate:

- New fraud schemes
- Emerging techniques
- Evolving mitigations
- Additional detection methodologies
- Operational insights contributed by industry participants

The long-term vision is to establish a scalable industry framework that not only supports fraud investigations and intelligence sharing today, but also enables future operational capabilities such as:

- Structured threat intelligence exchange
- Analytical mapping
- Detection engineering
- Fraud simulation and testing
- Cross-industry fraud trend analysis

Through continued collaboration, the NRF Retail Fraud Taxonomy aims to strengthen the retail industry's collective ability to identify, disrupt, and defend against increasingly sophisticated fraud operations.

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Taxonomy Elements

The Retail Fraud Taxonomy is built around a structured set of core elements that help organizations consistently classify, analyze, and communicate fraud activity. These elements provide a common framework for mapping fraud schemes, understanding adversary behavior, identifying defensive controls, and improving detection and response capabilities across the retail ecosystem. By standardizing terminology and organizing fraud activity into logical categories, the Taxonomy enables more effective collaboration between fraud operations, cybersecurity, investigations, engineering, retail operations, and external partners.

Term	Description
<u>Schemes</u>	The overarching fraud objective or operation, typically composed of multiple tactics and techniques working together to achieve monetization or exploitation goals.
<u>Tactics</u>	The high-level objectives or goals adversaries aim to achieve during a stage of a fraud scheme or operation.
<u>Channels</u>	The operational or transactional environments through which fraud activity is conducted, exploited, or targeted.
<u>Techniques</u>	The specific methods, actions, or behaviors used by adversaries to execute a tactic or advance a fraud scheme.
<u>Mitigations</u>	Security controls, operational processes, or technologies designed to prevent, disrupt, or reduce the effectiveness of fraud techniques.
<u>Detection Sources</u>	Telemetry, logs, behavioral indicators, or data sources that can be used to identify, investigate, or monitor fraud activity.
<u>References</u>	Supporting research, intelligence reporting, case studies, industry analysis, and other sources used to inform and validate taxonomy content.

Schemes

The overarching fraud objective or operation, typically composed of multiple tactics and techniques working together to achieve monetization or exploitation goals. More schemes will be added as the Taxonomy grows.

Scheme	Description
Gift Card Fraud	Tampering, generating, stealing, or otherwise using a gift card in an unauthorized manner to extract resources.
Account Takeover	Gaining unauthorized access to a victim's account
Return Fraud	Deliberate exploitation of a return and refund policies to gain monetary value, store credit, gift cards, or replacement merchandise.

Tactics

The high-level objectives or goals adversaries aim to achieve during a stage of a fraud scheme or operation. Not all tactic phases are required for a scheme as there are actors that specialize in each phase. For example, a fraudster may achieve Control by exchanging an illicitly gathered gift card for a legitimate one assigned to them.

Tactic	Description
Pre-Compromise	Operations that occur prior to compromise.
Initial Access	Stealing, generating, confirming, or otherwise obtaining a legitimate gift card, account, or other resource
Defense Evasion	Techniques that are used to bypass security measures and fraud controls
Control	Physically or digitally gaining control of a resource from a customer or retailer
Monetization	Converting illicitly gathered resources into liquid funds or an item that can be converted into liquid funds

Channels

The operational or transactional environments through which fraud activity is conducted, exploited, or targeted – Analog (Physical); Digital; Social Engineering.

Analog (Physical) Channels

Techniques conducted outside of computer networks that rely on physical actions, in-person interaction, or tangible objects. These techniques often involve manipulating or exploiting physical items rather than digital systems, and typically include direct physical interaction, including handling physical objects, creating fraudulent materials, or requiring physical proximity to execute the activity.

Analog Techniques		
Reconnaissance	Gift Card Return	Resale
Third Party Supplier Manipulation	Gift Card Merge	Resale: Drop Shipping
Fake Receipt Generation	Gift Card Tampering	Resale: Unwitting Buyer
Shoplifting	Gift Card Redemption	Marketplace Exploitation
Digital Wallet Apps	Wardrobing	Marketplace Exploitation: Fraudulent Delivery
Gift Cards as Defense Evasion	Item Manipulation	Fraudulent Refund
Gift Card Extortion	Item Manipulation: Harvesting	Marketplace Exploitation: Fraudulent Seller
Check Gift Card Balance	Item Manipulation: Switch Merchandise	Checkout
Check Gift Card Balance: Phone Verification	Returns Process Exploitation	Checkout: Point of Sale
Check Gift Card Balance: In Store Gift Card Verification	Returns Process Exploitation: Shipping Manipulation	Checkout: Guest Services
Refund: Non-Receipted Returns	Returns Process Exploitation: Damaged Shipment	

Digital Channels

Techniques executed through digital systems or networks that do not require physical interaction or direct human contact. These techniques rely on remote access, code execution, system manipulation, or network exploitation to facilitate fraud activity.

Digital Techniques		
Reconnaissance	Valid Accounts	Returns Process Exploitation: Shipping Manipulation
Third Party Supplier Manipulation	Valid Accounts: Fraudulent Account	Returns Process Exploitation: Damaged Shipment
Acquire Database	Valid Accounts: Fraudulent Account Update	Resale
Gift Card Number Generation	Valid Accounts: Authorized Account Abuse	Resale: Drop Shipping
Password Reset	Credential Stuffing	Resale: Unwitting Buyer
Proxy Abuse	Gift Card Return	Marketplace Exploitation
VOIP Abuse	Gift Card Merge	Marketplace Exploitation: Fraudulent Delivery
Digital Wallet Apps	Gift Card Redemption	Marketplace Exploitation: Fraudulent Seller
Cryptocurrency	Loyalty Points Abuse	Checkout
Gift Cards as Defense Evasion	Wardrobing	Fraudulent Refund
Gift Card Extortion	Item Manipulation	Checkout: Online/Web Mobile
Check Gift Card Balance	Item Manipulation: Harvesting	Refund: Refund to Gift Card
Check Gift Card Balance: Application	Item Manipulation: Switch Merchandise	Refund: Double Refund
Check Gift Card Balance: Phone Verification	Fake Receipt Generation	Refund: Non-Receipted Returns
Fake Pages	Returns Process Exploitation	

Social Engineering

Techniques that exploit human behavior, trust, or social expectations to gain access, information, or assets. These techniques can occur through digital or physical channels and rely on deception, manipulation, coercion, or persuasion to facilitate fraud activity.

Social Engineering Techniques		
Reconnaissance	Gift Card Redemption	Resale: Unwitting Buyer
Fake Receipt Generation	Item Manipulation	Checkout
Insider Recruitment	Item Manipulation: Harvesting	Checkout: Point of Sale
Impersonation of Retail Employee	Item Manipulation: Switch Merchandise	Checkout: Guest Services
Gift Card Extortion	Returns Process Exploitation	Fraudulent Refund
Check Gift Card Balance	Returns Process Exploitation: Shipping Manipulation	Refund: Refund to Gift Card
Check Gift Card Balance: Phone Verification	Returns Process Exploitation: Damaged Shipment	Refund: Double Refund
Check Gift Card Balance: In Store Gift Card Verification	Resale	Refund: Non-Receipted Returns
Gift Card Return	Resale: Drop Shipping	

Techniques

The specific methods, actions, or behaviors used by adversaries to execute a tactic or advance a fraud scheme. While tactics describe the adversary's objective or intent, techniques represent the practical means by which that objective is achieved.

Technique Table:

Pre-Compromise	Initial Access	Defense Evasion	Control	Monetization
Reconnaissance	Shoplifting	Valid Accounts	Gift Card Extortion	Resale
Fake Pages	Gift Card Extortion	Authorized Account Abuse	Valid Accounts	Drop Shipping
Acquire Database	Check Gift Card Balance	VOIP Abuse	Fraudulent Account	Unwitting Buyer
Gift Card Number Generation	Application	Digital Wallet Apps	Fraudulent Account Update	Checkout
Password Reset	Phone Verification	Cryptocurrency	Gift Card Return	Point of Sale
Proxy Abuse	In Store Gift Card Verification	Gift Cards as Defense Evasion	Gift Card Merge	Guest Services
Third Party Supplier Manipulation	Valid Accounts		Gift Card Tampering	Online Web/Mobile
Fake Receipt Generation	Fraudulent Account		Gift Card Redemption	Fraudulent Refund
Insider Recruitment	Fraudulent Account Update		Wardrobing	Refund to Gift Card
Impersonation of Retail Employee	Password Reset		Loyalty Points Abuse	Double Refund
	Credential Stuffing		Item Manipulation	Non-Receipted Returns
	Insider Recruitment		Harvesting	Cryptocurrency
	Impersonation of Retail Employee		Switch Merchandise	
			Returns Process Exploitation	
			Damaged Shipment	
			Shipping Manipulation	
			Marketplace Exploitation	
			Fraudulent Delivery	
			Fraudulent Seller	
			Cryptocurrency	

Technique Details

The following section provides detailed breakdowns of fraud techniques observed across the retail ecosystem. Each technique represents a specific behavior or operational method used by fraudsters to support broader schemes such as gift card fraud, account takeover, return fraud, and marketplace abuse.

To improve consistency and operational usability, each technique entry is organized into a standardized format that includes the associated tactic, channels, schemes, definition, sub-techniques, mitigations, detection opportunities, and references.

Reconnaissance | FT1001

Pre-Compromise · Analog | Digital | Social Engineering · Gift Card Fraud | Account Takeover

Description

Fraudsters actively or passively gather information that can be used to support operations. Information may include details of the victim organization, infrastructure, or staff/personnel. This information can be leveraged by the fraudster to aid in other phases of the adversary lifecycle, such as using gathered information to plan and execute future operations. Threat actors will attempt to create accounts, wish lists, and other related assets using lists of usernames and credentials from breached databases. If the attempt fails, it signals to the actor that the account already exists and is a good candidate for credential stuffing.

Mitigations

FM1006 — Training and Awareness

At physical locations, training employees to identify and report suspicious individuals to security.

FM1016 — Security Guards

At physical locations, use a security guard to identify and deter reconnaissance attempts.

FM1018 — Software Configuration

Fully decommission obsolete login software that may not be protected by current security protocols.

Redirect login requests to obsolete software to follow the approved login flow.

Detection Opportunities

FD1007 — Network Traffic Attributes

Automated network reconnaissance will scan internet resources in a manner that a normal user typically will not. Monitor for connections to suspicious ports and traversal to suspicious directories such as www.mywebsite.com/admin or www.mywebsite.com/phpadmin

FD1009 — Online Identities

When account creation has limited restrictions, fraudsters often create test accounts to develop automation, test fraud techniques, or validate stolen credentials. These accounts frequently use

fake identity information and can provide insight into an actor's methods and intent. Organizations should monitor account creation activity for abnormal behavior, as fraudsters may also use registration flows to determine whether accounts already exist before attempting credential-based attacks.

FD1002 — Video Surveillance Systems

At physical locations, use video surveillance to identify and report suspicious individuals to security.

References

MITRE ATT&CK

Fake Pages | FT1003

Pre-Compromise · Digital · Gift Card Fraud | Account Takeover

Description

The fraudster creates a web page that may mimic a legitimate website to fool victims into divulging information. This website may visually appear to be legitimate or have a URL that is like the legitimate website.

One example of this is to register a domain that looks or sounds like a legitimate website. If www.legitimatesite.com was the target the fraudster may register a website similar to www.legitimatesite.io or www.legitsite.com. Using this along with similar visual elements, the fraudster can fool victims into divulging information such as account name and password.

Mitigations

FM1007 — Website Takedown Requests

When a fake page is identified file a takedown request with the Website Host and DNS Registrar.

FM1013 — DNS Registration

Identify potential URLs that may be mistaken for the legitimate website and register them so they cannot be used by fraudsters.

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor domain registration, certificate transparency logs, and phishing sites to identify sites established with your branding but designed to fool your customers into divulging information.

References

Industry Partner Collaboration

Acquire Database | FT1004

Pre-Compromise · Digital · Gift Card Fraud | Account Takeover

Description

Fraudster will, through legitimate or illegal means, acquire databases that may be used for future operations. These databases may range from legitimate marketing information sold by reputable companies to data stolen from victims.

Some examples of databases that can be acquired to support operations are account databases, marketing information, gift card numbers, and personally identifiable information (PII).

Mitigations

FM1014 — Password Policy

Encourage using strong passwords with sufficient length and complexity. Discourage reusing passwords.

Detection Opportunities

FD1009 — Online Identities

Subscribe to breach databases and monitor logins for usage of known or publicly compromised credentials.

References

MITRE ATT&CK

<https://attack.mitre.org/techniques/T1650/>

Top 10 Digital Commerce Account Risks & How to Mitigate Them by Gunnar Peterson

<https://www.forter.com/blog/rh-isac-account-risk-mitigation/>

Authentication and Access to Financial Institution Services and Systems

<https://www.ffiec.gov/guidance/Authentication-and-Access-to-Financial-Institution-Services-and-Systems.pdf>

Gift Card Number Generation | FT1005

Pre-Compromise · Digital · Gift Card Fraud

Description

Fraudster uses an algorithm or brute force to generate gift card numbers that can potentially be legitimate. This can be conducted by predicting or acquiring the algorithm used to generate gift card numbers and creating them. This can be used with Check Gift Card Balance to identify legitimate gift cards with funds for future use.

Mitigations

FM1011 — Brute Force Resistant Gift Card Numbers

Generate long and complicated gift card numbers that are resistant to prediction.

Detection Opportunities

This technique cannot be easily detected by organizational controls due to it occurring outside of the organization's scope.

References

Industry Partner Collaboration

Password Reset | FT1006

Pre-Compromise | Initial Access · Digital · Account Takeover

Description

Actors abuse the password reset functionality to verify whether an account exists on a website. If the website provides feedback that indicates the account does exist, the actor then proceeds to attempt a login for that account using exposed credentials. If the account does not exist, the actor does not submit a login request to avoid expending unnecessary resources on an invalid account.

Actors compromise the victim's email account and then submit a password reset request to the targeted site. The actor is able to change the victim's password to one of their choosing, allowing them access to the victim's account.

Mitigations

FM1019 — Neutral Feedback

Do not provide feedback that notifies an actor if the account exists or does not exist on the website.

FM1020 — Customer Notification

Notify all available contacts on the account when a password is reset.

Detection Opportunities

FD1003 — Behavioral Attributes

Monitor password reset endpoints for abnormal behavior.

FD1006 — Velocity Attributes

Identify automated attempts to validate a credential list by volume of attempts.

References

Industry Partner Collaboration

Proxy Abuse | FT1007

Pre-Compromise · Digital · Account Takeover

Description

Actors abuse legitimate or illegal proxy services that act as an intermediary for requests from clients seeking resources from other servers, effectively masking the fraudster's IP address or other network attributes. Some examples of this are use of commercial VPN services, proxies through hosting providers, residential proxies, compromised machines such as botnets and malware infected hosts, and TOR services.

Mitigations

FM1008 — Behavior Prevention

Block traffic from known proxies, TOR 7exit nodes and infected machines.

Detection Opportunities

FD1007 — Network Traffic Attributes

Aggregate IP addresses to identify the common carriers / autonomous system numbers.

Establish normal and abnormal behavior for traffic originating from those networks.

References

MITRE ATT&CK

<https://attack.mitre.org/techniques/T1090/>

Third Party Supplier Manipulation | FT1008

Pre-Compromise · Analog | Digital · Return Fraud

Description

A supplier or manufacturer knowingly produces and distributes nongenuine goods with the intent (or willful disregard of the likelihood) that these items will be returned to legitimate retailers for refunds, store credit, or replacements, thereby monetizing counterfeits via the retailer's returns channel and shifting losses to the merchant. This scheme often leverages high demand SKUs and categories with permissive return policies to maximize refund yield and minimize detection.

Mitigations

FM1208 — Law Enforcement

Report known counterfeiters or other confirmed illegal activity to Law Enforcement for action.

Detection Opportunities

FD1012 — Controlled Purchase

Purchase items from Third Party Supplier to identify indicators of fraud.

FD1010 — Transaction Data

Identify indicators of counterfeit or fake items such as poor packaging or labeling with incorrect or repeating serial numbers.

FD1004 — Time-Based Attributes

Identify returns that happen quickly. This can range from a few minutes from purchase to a day depending on fraudster behavior.

FD1006 — Velocity Attributes

Fraudsters will attempt a high number of returns at once. This may be multiples of same item or different items.

References

Industry Partner Collaboration

Fake Receipt Generation | FT1009

Pre-Compromise · Analog | Digital · Return Fraud

Description

A fraudulent receipt created by a fraudster that appears legitimate. The primary purpose is to fabricate proof of purchase or transaction to deceive systems, individuals, or institutions and often to claim refunds, reimbursements, or validate false returns.

Mitigations

FM1008 — Behavior Prevention

Validate the receipt with store records (preferably by electronic scan). Do not permit use of receipts without validation of store-controlled records.

FM1006 — Training and Awareness

Identify fake receipts, which may appear visually different.

Detection Opportunities

FD1010 — Transaction Data

Identify refunds that do not have proper proof of purchase.

FD1006 — Velocity Attributes

A large volume of receipts may obscure or overlap with a genuine receipt.

A large number of items on the receipt.

References

Industry Partner Collaboration

Insider Recruitment | FT1010

Pre-Compromise | Initial Access · Social Engineering · Return Fraud

Description

A form of social engineering, this technique involves fraudsters enlisting employees, typically in customer service, logistics, or returns processing, to help execute fraudulent return schemes from within the organization. These insiders are incentivized with payments or a share of the refund value to manipulate internal systems, such as marking items as undelivered, falsifying damage claims, or overriding verification protocols. Recruitment often begins on social platforms like Telegram, LinkedIn, or even customer service contact channels with communication quickly shifting to encrypted channels to avoid detection. Once embedded, insiders can process large volumes of fraudulent refunds, making the scheme highly scalable and difficult to trace.

Mitigations

FM1006 — Training and Awareness

Train employees to recognize recruitment attempts and remind them of their role, ethical agreements, and consequences.

FM1022 — Escalation

Require secondary approvals for sensitive actions that can be taken on behalf of customers to limit damage an insider could perform.

Detection Opportunities

FD1003 — Behavioral Attributes

Monitor employees' interactions with other employees and discussions regarding potential payment or other ways to receive value for fraudulent activity.

Insiders may attempt to hire employees to support their activity. Identify employees' excessive referrals and the quality of those referrals.

For call center or chat-based customer service operations, recruiters will often engage with many customer service representatives to find one who is willing or vulnerable. Identify customer attempts to offer money, jobs, or other reimbursement for actions taken at the retail store.

FD1002 — Video Surveillance Systems

Use video surveillance system to identify and record suspicious activity for correlation as fraudsters may commit actions over a long period.

References

Industry Partner Collaboration

Impersonation Of Retail Employee | FT1011

Pre-Compromise | Initial Access · Social Engineering · Return Fraud

Description

A form of social engineering, this technique in returns fraud involves fraudsters posing as store staff, either physically, over the phone, or online, to manipulate return processes and bypass verification protocols. They may dress like employees, use fake IDs, or spoof contact details to gain trust and access, often requesting unauthorized refunds or overrides. In more advanced schemes, real employees are recruited to impersonate others or approve fraudulent returns, making fraud harder to detect and more scalable.

Mitigations

FM1021 — Identity Verification

Establish identification and authentication procedures to prove someone is an employee in person or remotely.

FM1006 — Training and Awareness

Train employees in stores to recognize impersonation attempts, posing as an employee, someone from headquarters, or a legitimate third party such as contractors.

FM1022 — Escalation

Require secondary approvals for sensitive actions that the fraudster may ask employees to perform.

Detection Opportunities

FD1003 — Behavioral Attributes

Monitor employees' interactions with other employees and discussions regarding potential payment or other ways to receive value for fraudulent activity.

Insiders may attempt to hire employees to support their activity. Identify employees' excessive referrals and the quality of those referrals.

For call center or chat-based customer service operations, recruiters will often engage with many customer service representatives to find one who is willing or vulnerable. Identify customer attempts to offer money, jobs, or other reimbursements for actions taken at the retail store.

FD1002 — Video Surveillance Systems

Use video surveillance systems to identify and record suspicious activity for correlation, as fraudsters may commit actions over a long period.

Correlate suspicious individuals across multiple stores to identify fraudsters.

References**Industry Partner Collaboration****Shoplifting | FT1101****Initial Access · Analog · Gift Card Fraud****Description**

Taking items from a store without paying for them. Shoplifting can range from concealing items in personal clothing or bags to swapping price tags to make items appear cheaper. Items shoplifted to support fraud are typically high value, small in size and easy to resell.

Examples of commonly stolen items to support fraud are Gift Cards, Electronics, and Luxury Goods.

Mitigations**FM1017 — Satchel Control**

Control the size and type of satchels that are permitted inside the store.

FM1005 — Anti-theft Prevention

Additional physical protection of products from theft such as locked shelving, containers, and vending machines, and storing items behind checkout counter.

FM1016 — Security Guards

At physical locations, use security guards to identify and deter shoplifting.

Detection Opportunities**FD1001 — Anti-theft security tags**

Attach a device to items that will cause an alarm if removed from the store without authorization.

FD1002 — Video Surveillance Systems

Monitor video feeds for suspicious activity around high value items.

References**Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)**

<https://www.acams.org/en/media/document/29436>

Gift Card Extortion | FT1102

Initial Access | Control · Analog | Digital | Social Engineering · Gift Card *Fraud*

Description

The fraudster obtains gift cards through coercion of a victim. This can involve many forms, including threats of violence, property damage, harm to reputation, or unwarranted government action, unlike robbery or theft where property is taken without consent.

A fraudster may pretend to be a representative of the government to coerce a victim through a fear response. They may convince a victim that they must purchase gift cards with their own funds and turn the gift card over to the fraudster.

Another common extortion scam is a fraudster pretending to be a relative of a victim who is being held against their will whether by criminals or a foreign government. They then convince the victim to purchase gift cards as restitution or a bribe to release their family member.

Mitigations

FM1001 — Primary Gift Card Lock In

When a gift card is purchased, lock the gift card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

Require an account before permitting purchase of or transfer of a gift card.

FM1012 — Gift Card Purchase Limit

Enforce limits of quantity and/or the value that may be purchased by an interaction or person.

FM1006 — Training and Awareness

Consumer fraud awareness and education campaigns, signage, pop-ups, and other forms of communication.

Detection Opportunities

FD1006 — Velocity Attributes

Monitor the purchase of gift cards by value and quantity from an individual by a predetermined value and/or time frame.

FD1003 — Behavioral Attributes

Monitor for out-of-character purchases of an individual and their lifestyle.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Avoiding and Reporting Gift Card Scams

<https://consumer.ftc.gov/articles/avoiding-and-reporting-gift-card-scams#commonscams>

Check Gift Card Balance | FT1103

Initial Access · Analog | Digital | Social Engineering · Gift Card Fraud

Description

The fraudster may abuse legitimate functions to confirm a gift card is active and has funds. To reduce overhead, retailers may have autonomous systems for gift card owners and recipients to check if their gift card is usable and has value. These systems are generally available to the public for interaction.

Sub-Techniques

Application FT1103.001, Phone Verification FT1103.002, In Store Gift Card Verification FT1103.003

Mitigations

FM1002 — Login Required

Require authentication before displaying gift card status or value.

FM1003 — Access Code Required

Require an access code that is separate from the gift card number before revealing the status and funds on the gift cards.

FM1209 — Online Location Data

Some physical locations should not be able to check gift card balance. Some locations may also be the source of repeated fraud attempts. Prevent the ability to check gift card status and funds based on locations.

FM1210 — Phone Number

Automatically block phone numbers related to VOIP services and phone numbers that have been known to be used to perpetrate fraud.

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1006 — Velocity Attributes

Monitor for number of requests based on a predetermined number of requests over a set amount of time.

FD1008 — VOIP Attribute

Monitor for use of VOIP numbers that are not tied to a physical landline or mobile phone.

References

Industry Partner Collaboration

Check Gift Card Balance: Application | FT1103.001

Initial Access · Digital · Gift Card Fraud

Description

The fraudster may iteratively probe Web Applications using built-in functions in the Applications to confirm the gift card is active and has funds. The fraudster may use gift card numbers that are generated by brute force guessing, purchased from a source, or gathered from victims.

A fraudster may purchase a large amount of gift card numbers on the dark web. They will use the Web Application built-in Function and in a manual or automated fashion check to see if the gift card is active and has funds. This information can be used in future operations to convert the gift card into usable funds for the fraudster.

Mitigations

FM1002 — Login Required

Require authentication before displaying gift card status or value.

FM1003 — Access Code Required

Require an access code that is separate from the gift card number before revealing the status and funds on the gift cards.

FM1209 — Online Location Data

Some physical locations should not be able to check gift card balance. Some locations may also be the source of repeated fraud attempts. Prevent the ability to check gift card status and funds based on locations.

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1006 — Velocity Attributes

Monitor for number of requests based on a predetermined number of requests over a set amount of time.

References

Industry Partner Collaboration

Check Gift Card Balance: Phone Verification | FT1103.002

Initial Access · Analog | Digital | Social Engineering · Gift Card Fraud

Description

The fraudster may use a retailer-provided phone service to confirm a gift card is active and has funds. The fraudster may use gift card numbers that are generated by brute force guessing, purchased from a source, or gathered from victims.

Mitigations

FM1003 — Access Code Required

Require an access code that is separate from the gift card number before revealing the status and funds on the gift cards.

FM1008 — Behavior Prevention

Automatically block phone numbers related to VOIP services and phone numbers that have been known to be used to perpetrate fraud.

Detection Opportunities

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1008 — VOIP Attribute

Monitor for use of VOIP numbers that are not tied to a physical landline or mobile phone.

References

Industry Partner Collaboration

Verification | FT1103.003

Description

The fraudster uses legitimate functions inside a bricks-and-mortar store to verify status of gift cards. The fraudster may use Kiosks, Checkout, or Customer service to verify legitimacy of a gift card.

Mitigations

FM1003 — Access Code Required

Require an access code that is separate from the gift card number before revealing the status and funds on the gift cards.

Detection Opportunities

FD1006 — Velocity Attributes

Monitor for gift cards a person is attempting to verify.

References

Industry Partner Collaboration

Valid Accounts | FT1104

Initial Access | Defense Evasion | Control · Digital · Gift Card Fraud | Account Takeover | Return Fraud

Description

The fraudster may obtain, create and abuse accounts to gain access, elevate access, or control a resource. Since these credentials are generally legitimate, they may be used to bypass access controls in place to protect resources. This can also be used to achieve persistence in a system.

One example of this is if a fraudster gains control over a loyalty account. The fraudster can control the spending of loyalty points to buy items to support monetization. If gift cards are tied to the accounts, this may also be a method to control gift card use.

Sub-Techniques

Fraudulent Account FT1104.001, Fraudulent Account Update FT1104.002, Authorized Account Abuse FT1104.003

Mitigations

FM1004 — Multi-Factor Authentication

Use multiple forms of authentication such as username and password paired with a One-time Passcode before permitting access.

Use passkeys linked to a known physical device as authentication factor.

Require identity verification upon detection of access requests that are significantly different than what is expected for the individual.

FM1014 — Password Policy

Encourage using strong passwords with sufficient length and complexity. Discourage reusing passwords.

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1003 — Behavioral Attributes

Monitor for access attempts and purchases that are significantly different from known good behavior for each customer.

References

MITRE ATT&CK

<https://attack.mitre.org/techniques/T1078/>

Top 10 Digital Commerce Account Risks & How to Mitigate Them by Gunnar Peterson

<https://www.forter.com/blog/rh-isac-account-risk-mitigation/>

Authentication and Access to Financial Institution Services and Systems

<https://www.ffiec.gov/guidance/Authentication-and-Access-to-Financial-Institution-Services-and-Systems.pdf>

NIST Digital Identity Guidelines 800-63

<https://pages.nist.gov/800-63-3>

Valid Accounts: Fraudulent Account | FT1104.001

Pre-Compromise | Initial Access | Control · Digital · Gift Card Fraud | Account Takeover | Return Fraud

Description

The fraudster uses a legitimate resource to create an account for malicious usage. These accounts may be used for reconnaissance and to probe the defenses of the victim's applications.

One example of this is if a fraudster creates an account with fake information. Using this as a foothold the fraudster may gather information on the application itself such as naming convention, loyalty points, and other information that may be used to monetize the account.

Mitigations

FM1004 — Multi-Factor Authentication

Before permitting account changes, use multiple forms of authentication such as username and password paired with a One-time Passcode before permitting access.

If relevant, send confirmatory message to the original contact fields (e.g., original email address, phone number, street address).

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1006 — Velocity Attributes

Monitor for accounts that are created quickly in succession from the same location or with similar features.

References

Top 10 Digital Commerce Account Risks & How to Mitigate Them by Gunnar Peterson

<https://www.forter.com/blog/rh-isac-account-risk-mitigation/>

Valid Accounts: Fraudulent Account Update | FT1104.002

Pre-Compromise | Initial Access · Digital · Gift Card Fraud | Account Takeover | Return Fraud

Description

The fraudster makes a change to an account without the knowledge of the account holder.

One example of this is if a fraudster convinces a helpdesk to update the phone number of a legitimate account to one they control. The fraudster can then use this to reset the password or otherwise authenticate to control the victim's account.

Mitigations

FM1004 — Multi-Factor Authentication

Use multiple forms of authentication such as username and password paired with a One-time Passcode before permitting access.

Require identity verification upon detection of access requests that are significantly different than what is expected for the individual.

Send confirmatory message to the original contact fields (e.g., original email address, phone number, street address).

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1006 — Velocity Attributes

Monitor for accounts that are created quickly in succession from the same location or with similar features.

FD1009 — Online Identities

Monitor for account creations with suspicious names that do not appear legitimate. Some examples are ABCD, AAA, QAZ, etc.

References

Top 10 Digital Commerce Account Risks & How to Mitigate Them by Gunnar Peterson

<https://www.forter.com/blog/rh-isac-account-risk-mitigation/>

Valid Accounts: Authorized Account Abuse | FT1104.003

Defense Evasion · Digital · Gift Card Fraud | Account Takeover

Description

The fraudster persuades a legitimate customer to grant access to their account, enabling the fraudster to leverage a seasoned profile with an established purchase history and associated metadata. This tactic helps bypass or weaken fraud detection controls.

Mitigations

FM1004 — Multi-Factor Authentication

Before permitting account changes, use multiple forms of authentication such as username and password paired with a One-time Passcode before permitting access.

If relevant, send confirmatory message to the original contact fields (e.g., original email address, phone number, street address).

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1006 — Velocity Attributes

Monitor for accounts that are created quickly in succession from the same location or with similar features.

References

Top 10 Digital Commerce Account Risks & How to Mitigate Them by Gunnar Peterson

<https://www.forter.com/blog/rh-isac-account-risk-mitigation/>

Credential Stuffing | FT1105

Initial Access · Digital · Account Takeover

Description

Fraudsters abuse a variety of web automation tools to automate login attempts using credential lists known as “combolists.” Web automation serves a legitimate purpose in web application development and testing, but commercial projects can be abused by threat actors for illicit activity.

Fraudsters develop custom credential stuffing tools to automate login attempts. These tools can be site-specific or configurable via files known as “configs” which are then either sold or shared in underground communities. These tools range from simple scripts where technical details for the transaction are coded into the script itself, to fully configurable tools where actors can insert their own variables and other parameters into the automation.

Mitigations

FM1008 — Behavior Prevention

Many commercial services provide bot detection and mitigation, often incorporated into content delivery networks and other management packages.

Commonly available tooling includes default technical indicators which should be mitigated at the edge and automatically denied.

Detection Opportunities

FD1006 — Velocity Attributes

Monitor for surges in login attempts and other anomalous activity.

Monitor the response to login attempts where a surge in attempts to access accounts that do not exist at the target organization is a strong indicator of automated credential stuffing.

FD1003 — Behavioral Attributes

Monitor for repeated patterns of activity post-login that is an indicator that the activity is automated.

References

MITRE ATT&CK

<https://attack.mitre.org/techniques/T1110/004/>

Top 10 Digital Commerce Account Risks & How to Mitigate Them by Gunnar Peterson

<https://www.forter.com/blog/rh-isac-account-risk-mitigation/>

Gift Card Return | FT1201

Control · Analog | Digital | Social Engineering · Gift Card Fraud

Description

The fraudster converts an illicitly acquired or invalid gift card for a legitimate gift card.

For example, a fraudster illicitly obtains a gift card. Through social engineering or taking advantage of a retailer's legitimate system, they transfer the value from the illicitly obtained gift card to a new gift card that the fraudster legitimately owns.

Mitigations

FM1015 — Return Limit

Do not exchange gift cards over a pre-determined value.

Detection Opportunities

FD1010 — Transaction Data

Identify suspicious purchases and returns by gift card numbers.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Gift Card Merge | FT1202

Control · Analog | Digital · Gift Card Fraud

Description

The fraudster obtains a gift card through legitimate means. Using a retailer-provided method they transfer value from an illicitly obtained gift to the legitimate gift cards.

For example, a fraudster purchases a legitimate gift card with a value of \$5. They illicitly obtain multiple gift cards with values of \$100 and \$150. Using a legitimate retailer feature they combine gift cards. The values of the illicitly obtained gift cards are added to the legitimate one. The fraudster added \$250 to their \$5 gift card. They now have \$255 on their legitimate gift card.

Mitigations

FM1008 — Behavior Prevention

Do not permit merging of gift cards.

FM1002 — Login Required

Require authentication before permitting transfer of gift card value.

FM1003 — Access Code Required

Require an access code before permitting transfer of gift card value.

Detection Opportunities

FD1010 — Transaction Data

Identify suspicious transfer of value from gift cards to other gift cards.

FD1006 — Velocity Attributes

Identify suspicious transfers from many gift cards to one gift card. For example if 20 gift cards with value of \$5 are added to a single gift card.

References

Industry Partner Collaboration

Gift Card Tampering | FT1203

Control · Analog · Gift Card Fraud

Description

Fraudster takes physical possession of an unactivated gift card and takes the information that allows them to control the gift card when it is funded and activated.

An example is a fraudster steals gift cards from a store. They copy down the pertinent information needed to control the gift card and verify funds such as gift card number and security pin. The fraudster then repackages the gift card and returns it to the store. When a victim purchases the gift card and loads value, the fraudster can spend the funds on the gift card without the victim's awareness.

Mitigations

FM1001 — Primary Gift Card Lock in

For gift cards, lock the Gift Card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

For gift cards, require an account before permitting purchase of or transfer.

FM1005 — Anti-theft Prevention

Store gift cards behind checkout counter to limit theft.

FM1016 — Security Guard

At physical locations, use security guards to identify instances of fraudsters stealing gift cards and/or returning tampered gift cards.

Detection Opportunities

FD1002 — Video Surveillance Systems

At physical locations, use video surveillance to identify instances of fraudsters stealing gift cards and/or returning tampered gift cards

References

Industry Partner Collaboration

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Gift Card Redemption | FT1204

Control · Analog | Digital | Social Engineering · Gift Card Fraud

Description

The fraudster obtains a gift card through legitimate or illicit means and purchases an item.

One example of this is a fraudster uses a gift card to purchase a high-value easy-to-sell item such as jewelry or electronics. The fraudster then can monetize these items through various strategies such as resale or drop shipping.

Mitigations

FM1001 — Primary Gift Card Lock in

For gift cards, lock the gift card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

For gift cards, require an account before permitting purchase of or transfer.

Detection Opportunities

FD1010 — Transaction Data

Identify suspicious purchases of commonly resold items with potentially illicitly obtained gift cards.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Loyalty Points Abuse | FT1205

Control · Digital · Account Takeover

Description

The fraudster converts loyalty points into items or gift cards that can be used for monetization.

One example of this is a fraudster successfully compromises a victim's account through means such as Social Engineering. They can convert the victim's loyalty points into a gift card that the fraudster controls. This gift card can be further used for monetization.

Mitigations

FM1004 — Multi-Factor Authentication

Use multiple forms of authentication such as username and password paired with a One-time Passcode before permitting access.

Require identity verification upon detection of access requests that are significantly different than what is expected for the individual.

FM1014 — Password Policy

Encourage using strong passwords with sufficient length and complexity. Discourage reusing passwords.

Detection Opportunities

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1003 — Behavioral Attributes

Monitor for access attempts and purchases that are significantly different from known good behavior for each customer.

References

Industry Partner Collaboration

Item Manipulation | FT1206

Control · Analog | Digital | Social Engineering · Return Fraud

Description

Fraudster returns merchandise to a retailer under deceptive circumstances to obtain monetary refunds, store credit, replacement goods, or has somehow extracted value from the merchandise. This technique involves presenting an item at the point of return (altered, incomplete, counterfeit, or previously used) while misrepresenting its condition or origin.

Sub-Techniques

Harvesting FT1206.001, Switch Merchandise FT1206.002

Mitigations

FM1013 — Item Condition & Tag Checks

Ensure item is returned with all its components such as packaging, accessories, and documentation in good condition.

Verify additional attributes such as weight, general wear and tear.

Scuffs on screws

Reapplied tape

Do not accept returns that are missing components or may be suspicious.

FM1005 — Anti-theft Prevention

Use unique serial numbers or RFID tags tied to the original transaction record.

Verify serial numbers / digital product IDs upon return.

Apply tamper-proof seals or packaging that are difficult to replicate.

FM1015 — Return Limit

Require original packaging in return policy for high-value items. Shorten return windows for high-risk categories (electronics, luxury goods).

Deny returns to guests or tenders with a history of abuse or suspected abuse.

FM1203 — Proof of Purchase

Require receipts and ID for high-value returns.

FM1009 — Restocking Fees

Charge fees for high-risk categories.

FM1006 — Training and Awareness

Train associates to identify mismatched logos, misspelled labels, or damaged packaging.

FM1022 — Escalation

Implement escalation paths for suspicious returns.

Detection Opportunities**FD1010 — Transaction Data**

Match returned product identifiers (IMEI, serial, RFID) to the original purchase record.

FD1003 — Behavioral Attributes

Profiles or tenders with high rates of returns in specific categories.

FD1005 — Device Attributes

Use graph or link analysis to find connected devices, IPs, or payment tenders and label them as suspicious for future tracking.

FD1009 — Online Identities

Use graph or link analysis to find connected accounts.

References**Appriss**

<https://apprissretail.com/blog/8-common-types-of-return-fraud/>

Industry Partner Collaboration**Item Manipulation: Harvesting | FT1206.001**

Control · Analog | Social Engineering | Digital · Return Fraud

Description

Fraudster harvests valuable components of an item and returns the merchandise for a full refund.

For example, a fraudster purchases a computer. They harvest valuable components such as the graphics processor and CPU. They then return the item to the store and receive full value of the purchase but have stolen the components.

Another example: A fraudster purchases a console system that comes with redeemable points or other single use credit that is meant for the purchaser. They steal and redeem this credit then return the console for full value.

Mitigations**FD1013 — Item Condition & Tag Checks**

Ensure item is returned with all its components such as packaging, accessories, and documentation in good condition.

Verify additional attributes such as weight, general wear and tear.

Scuffs on screws

Reapplied tape

Do not accept returns that are missing components or may be suspicious.

FM1005 — Anti-theft Prevention

Apply tamper-proof seals or packaging that are difficult to replicate.

FM1009 — Restocking Fees

Charge fees for high-risk categories.

Detection Opportunities

FD1003 — Behavioral Attributes

Profiles or tenders with high rates of returns in specific categories.

References

Industry Partner Collaboration

Item Manipulation: Switch Merchandise | FT1206.002

Control · Analog | Digital | Social Engineering · Return Fraud

Description

A fraudster returns a different item, a broken item, or a counterfeit item for resources such as gift cards, store credit, or cash.

For example, a fraudster may purchase an item they already own that is broken. They then keep the new merchandise and put the broken item into the box of the new purchase. They return the broken item for full monetary value.

Another example is that a fraudster may purchase an item online, begin an online return and ship a different item, or other material that is similar in weight or size. The fraudster then keeps the purchased item and receives monetary value of the returned item.

Mitigations

FM1005 — Anti-theft Prevention

Use unique serial numbers or RFID tags tied to the original transaction record.

Verify serial numbers / digital product IDs upon return.

Apply tamper-proof seals or packaging that are difficult to replicate.

FM1015 — Return Limit

Require original packaging in return policy for high-value items. Shorten return windows for high-risk categories (electronics, luxury goods).

Deny returns to guests or tenders with a history of abuse or suspected abuse.

FM1203 — Proof of Purchase

Require receipts and ID for high-value returns.

FM1009 — Restocking Fees

Charge fees for returning high-risk categories.

FM1006 — Training and Awareness

Train associates to identify mismatched logos, misspelled labels or damaged packaging.

FM1022 — Escalation

Implement Escalation paths for suspicious returns.

Detection Opportunities

FD1010 — Transaction Data

Match returned product identifiers (IMEI, serial, RFID) to the original purchase record.

FD1003 — Behavioral Attributes

Identify accounts or tenders with repeated returns in high-counterfeit categories.

FD1005 — Device Attributes

Use graph or link analysis to find connected devices, IP addresses, or payment tenders and label them as suspicious for future tracking.

FD1009 — Online Identities

Use graph or link analysis to find connected accounts.

References

Industry Partner Collaboration

Returns Process Exploitation | FT1207

Control · Analog | Digital | Social Engineering · Return Fraud

Description

A fraudster abuses a retailer's returns system to receive the value of an item. They may claim an item is damaged or never arrived.

For example, a fraudster purchases an item and has it delivered to their house. Though the merchandise arrived, they fraudulently claim the item has never arrived or was damaged in transit. They abuse the retailer's claims system to receive a refund as well as keeping the delivered item.

Sub-Techniques

Shipping Manipulation FT1207.001, Damaged Shipment FT1207.002

Mitigations

FM1008 — Behavior Prevention

Flag customers that make too many returns and delay or deny returns.

FM1009 — Restocking Fees

Impose a fee for returns.

FM1010 — Delayed Reimbursement

Delay reimbursement for a specific amount of time or until the return is verified.

FM1203 — Proof of Purchase

Require proof of purchase such as a receipt before permitting return.

Detection Opportunities

FD1010 — Transaction Data

Record serial numbers to make sure refunds match the product.

FD1003 — Behavioral Attributes

Identify fraudsters that make repeat or frequent returns.

Identify fraudsters attempting to refund online and in stores.

FD1005 — Device Attributes

Identify devices such as a single phone or computer used for many return attempts.

References

RSP Memorandum

Industry Partner Collaboration

Returns Process Exploitation: Shipping Manipulation | FT1207

Control · Analog | Digital | Social Engineering · Return Fraud

Description

Fraudster purchases an item with the intent to return the item. They request a return from the retailer and tamper with the return label, resulting in a lost package. The fraudster does not return the original item, but an item with similar weight and size. The retailer in good faith refunds the fraudster as soon as the return is initiated. The fraudster now possesses the merchandise as well as the value of the refund.

Mitigations

FM1204 — Delivery Confirmation

Only refund after the item is received and verified.

FM1008 — Behavior Prevention

Flag customers that make too many returns and delay or deny returns.

FM1015 — Return Limit

Restrict fast refunds on high-risk items like electronics.

FM1010 — Delayed Reimbursement

Delay reimbursement for a specific amount of time or until the return is verified.

Detection Opportunities

FD1003 — Behavioral Attributes

Identify fraudsters that make repeat or frequent delivery-based returns.

FD1010 — Transaction Data

Match refund claims with shipping records.

FD1005 — Device Attributes

Identify devices such as a single phone or computer used for many return attempts.

References

Appriss

<https://apprissretail.com/blog/8-common-types-of-return-fraud/>

Industry Partner Collaboration

Returns Process Exploitation: Damaged Shipment | FT1207.002

Control · Analog | Digital | Social Engineering · Return Fraud

Description

A fraudster orders multiple items in one shipment and then falsely claims that damage to one item rendered the entire order unusable (e.g., leakage, shattered glass, food contamination). They request an order-level refund or reshipment rather than a partial remedy, exploiting lenient damage policies and limited evidence requirements.

One example is when a fraudster orders printer ink, toner and a laptop, then claims the toner exploded during shipping and damaged the laptop. The fraudster requests a refund for all items while keeping them.

Mitigations

FM1205 — Proof of Damage

Require customers to submit photos or video evidence of damage.

Require the physical return of damaged goods before issuing a refund.

FM1206 — Enhanced Packaging

Isolate items that could leak or cause contamination into separate packages.

Use waterproof packaging or tamper-proof seals.

FM1015 — Return Limit

Limit the amount that can be refunded without requiring the item to be physically returned.

Detection Opportunities

FD1003 — Behavioral Attributes

Flag customers with repeated claims tied to specific accounts, addresses, and/or payment identities.

Monitor for claims made on first-time orders by new customers.

FD1006 — Velocity Attributes

Monitor for frequent damage claims of specific items.

References

Industry Partner Collaboration

Wardrobing | FT1209

Control · Analog | Digital · Return Fraud

Description

A fraudster buys merchandise (often apparel, footwear, or accessories) intending to temporarily use or wear the item for an event, photo shoot, or short-term need. After use, the fraudster returns the item, exploiting return policies. The retailer incurs losses through inventory depreciation, sanitation costs, and resale markdowns, as returned items often cannot be sold as new.

For example, a fraudster has an upcoming special event such as a wedding. They purchase expensive dresses, jewelry, and other accessories with no intent of keeping them. After they wear the merchandise to their event, they return the items to the store for a refund.

Mitigations

FM1015 — Return Limit

Deny returns on worn, washed, or tag-removed items.

Shorten return windows for seasonal / fashion merchandise.

FM1009 — Restocking Fees

Apply Restocking Fees to high-value apparel items.

Detection Opportunities

FD1006 — Velocity Attributes

Profiles or tenders with high rates of returns in specific categories.

FD1013 — Item Condition & Tag Checks

Inspect the item being returned for missing original packaging, tags, or signs of use (stains, scuffs).

FM1005 — Anti-theft Prevention

Use tamper-proof tagging that would leave a detectable residue that the item has been worn.

RFID tagging to validate item being returned was purchased within the return window (prevents purchasing a new item and returning old).

References

Industry Partner Collaboration

Resale | FT1301

Monetization · Analog | Digital | Social Engineering · Gift Card Fraud

Description

The fraudster exchanges the illicitly obtained items or gift cards with another person or organization in exchange for liquid funds.

For example, a fraudster may steal jewelry worth \$100. Using a third party market such as Facebook Marketplace, they sell the illicitly obtained jewelry for \$80, converting the item to currency the fraudster controls.

Sub-Techniques

Drop Shipping FT1301.001, Unwitting Buyer FT1301.002

Mitigations

FM1001 — Primary Gift Card Lock in

For gift cards, lock the gift card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

For gift cards, require an account before permitting purchase of or transfer.

Detection Opportunities

FD1010 — Transaction Data

Monitor for anomalous purchases of easily monetized items such as Electronics, and Luxury Goods.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Resale: Drop Shipping | FT1301

Monetization · Analog | Digital | Social Engineering · Gift Card Fraud

Description

The fraudster will use a third party to ship directly to a customer.

For example, to obfuscate the legitimacy of the gift card, the fraudster will store gift cards with a third-party partner who will list and manage their gift cards. A buyer will purchase the gift card from the third party. The buyer will receive illegally obtained gift cards.

Mitigations

FM1001 — Primary Gift Card Lock in

For gift cards, lock the gift card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

For gift cards, require an account before permitting purchase of or transfer.

Detection Opportunities

FD1010 — Transaction data

Monitor for anomalous purchases of easily monetized items such as Electronics and Luxury Goods.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Resale: Unwitting Buyer | FT1301.002

Monetization · Analog | Digital | Social Engineering · All

Description

The fraudster sells the illicitly obtained goods or resources to an unwitting buyer.

Mitigations

FM1001 — Primary Gift Card Lock in

For gift cards, lock the gift card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

For gift cards, require an account before permitting purchase of or transfer.

Detection Opportunities

FD1011 — Market Resale Data

Monitor for anomalous sales of serialized items and gift cards in third party locations and other repositories.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Marketplace Exploitation | FT1302

Control · Analog | Digital · Return Fraud

Description

Fraudulent sellers pose as legitimate marketplace accounts and exploit drop shipping to shift financial loss and reputational damage onto retailers.

These sellers may deliver counterfeit, damaged, or no goods at all, causing customers to request refunds or initiate chargebacks, which the retailer absorbs.

Fraudsters often use stolen payment methods, fake or nonexistent addresses, and may intercept packages or “double dip” by keeping goods while claiming non-delivery. This tactic enables criminals to convert illicit funds into legitimate cash while leaving retailers with monetary losses, operational burdens, and customer dissatisfaction.

Sub-Techniques

Fraudulent Delivery FT1302.001, Fraudulent Seller FT1302.002

Mitigations

FM1204 — Delivery Confirmation

Only refund after the item is received and verified.

FM1008 — Behavior Prevention

Validate address is legitimate and do not deliver to unlisted addresses.

FM1211 — Blacklist Known High-Risk Addresses

Maintain a blacklist of shipping and billing addresses tied to prior fraud, freight forwarders, or reshipping operations, and block or hold orders directed to them.

FM1212 — Require Signature on Delivery

Require signature confirmation at delivery for high-value or high-risk orders to establish proof of receipt and counter fraudulent non-delivery claims.

Detection Opportunities

FD1007 — Network Traffic Attributes

Identify mismatch between Network Traffic Attributes such as IP geo location against the billing and shipping address.

FD1016 — Location Attributes

Identify mismatch between billing and shipping address.

FD1003 — Behavioral Attributes

Refund returns only to the method of purchase.

References

Industry Partner Collaboration

Marketplace Exploitation: Fraudulent Delivery | FT1302.001

Control · Analog | Digital · Return Fraud

Description

The fraudster places an order using a fraudulent, fake, incorrect, or nonexistent shipping address. This could be, but is not limited to: a fake street number, a real street but non-existent apartment number, an abandoned property, or a vacant lot. The fraudster may use stolen credit cards or other illicit resources to pay for the item.

If the item is successfully delivered, the fraudster may steal the item from the real, but fraudulent location or a consolidated mailroom such as an apartment, business, or delivery service.

The fraudster may attempt to intercept the item from the delivery service to gain control of the item.

The fraudster may “double dip” and intercept the package to keep the goods and claim non-delivery.

Mitigations

FM1204 — Delivery Confirmation

Only refund after the item is received and verified.

FM1008 — Behavior Prevention

Validate address is legitimate and do not deliver to unlisted addresses.

FM1211 — Blacklist Known High-Risk Addresses

Maintain a blacklist of shipping and billing addresses tied to prior fraud, freight forwarders, or reshipping operations, and block or hold orders directed to them.

FM1212 — Require Signature on Delivery

Require signature confirmation at delivery for high-value or high-risk orders to establish proof of receipt and counter fraudulent non-delivery claims.

Detection Opportunities

FD1007 — Network Traffic Attributes

Identify mismatch between Network Traffic Attributes such as IP geo location against the billing and shipping address.

FD1016 — Location Attributes

Identify mismatch between billing and shipping address.

FD1003 — Behavioral Attributes

Refund returns only to the method of purchase.

References

Industry Partner Collaboration

Marketplace Exploitation: Fraudulent Seller | FT1302.002

Control · Analog | Digital · Return Fraud

Description

A fraudulent seller is an account operating on (or connected to) your storefront/marketplace that appears legitimate but uses drop shipping to execute scams that shift loss, reputational damage, and chargebacks onto your retail brand.

A legitimate customer may buy an item from the reseller that is counterfeit, damaged, or inferior. This results in the customer returning the item for a full refund of the full cost of a legitimate item. In the event the item does not exist or it is not delivered, the customer will then initiate a refund. Both situations result in the retailer losing money, chargebacks, or returns.

A fraudster may work with the fraudulent seller to purchase the item with stolen funds or other illicit resources. The seller either does not deliver an item or delivers an inferior item, resulting in a return or chargeback. The seller is then able to convert stolen funds into legitimate cash.

Mitigations

FM1204 — Delivery Confirmation

Only refund after the item is received and verified.

FM1008 — Behavior Prevention

Do not permit resellers to operate in your ecosystem without legitimate business credentials or sufficient time in market.

Validate address is legitimate and do not deliver to unlisted addresses.

FM1211 — Blacklist Known High-Risk Addresses

Maintain a blacklist of shipping and billing addresses tied to prior fraud, freight forwarders, or reshipping operations, and block or hold orders directed to them.

FM1212 — Require Signature on Delivery

Require signature confirmation at delivery for high-value or high-risk orders to establish proof of receipt and counter fraudulent non-delivery claims.

FD1003 — Behavioral Attributes

Refund returns only to the method of purchase.

Detection Opportunities

FD1006 — Velocity Attributes

Flag sellers with multiple returns or chargebacks.

References

Industry Partner Collaboration

Checkout | FT1303

Monetization · Analog | Digital | Social Engineering · All

Description

The fraudster uses legitimate checkout to redeem or otherwise convert illicit resources into liquid funds.

Sub-Techniques

Point of Sale FT1303.001, Guest Services FT1303.002, Online/Web Mobile FT1303.003

Mitigations

FM1003 — Access Code Required

Require an access code that is separate from the gift card before refunding gift card value.

FM1008 — Behavior Prevention

Identify potentially fraudulent returns and do not refund money if fraud is detected.

FM1009 — Restocking Fees

Require a fee for potentially fraudulent returns.

FM1010 — Delayed Reimbursement

Postpone refund by a predetermined amount of time for items that are commonly related to fraud.

Detection Opportunities

FD1010 — Transaction Data

Monitor for returns of items commonly related to fraud such as gift cards, Luxury Items, and Electronics for fraudulent activity.

References

Industry Partner Collaboration

Checkout: Point of Sale | FT1303.001

Monetization · Analog | Social Engineering · All

Description

The fraudster uses the checkout in store to convert illicit resources into liquid funds.

Mitigations

FM1003 — Access Code Required

Require an access code that is separate from the gift card before refunding gift card value.

FM1008 — Behavior Prevention

Identify potentially fraudulent returns and do not refund money if fraud is detected.

FM1009 — Restocking Fees

Require a fee for potentially fraudulent returns.

FM1010 — Delayed Reimbursement

Postpone refund by a predetermined amount of time for items that are commonly related to fraud.

Detection Opportunities

FD1010 — Transaction data

Monitor and record product serial number of items that are commonly related to fraud.

FD1006 — Velocity Attributes

Monitor returns for total amount and total value of items returned.

References

Industry Partner Collaboration

Checkout: Guest Services | FT1303.002

Monetization · Analog | Social Engineering · All

Description

The fraudster uses the guest services in store to convert illicit resources into liquid funds.

Mitigations

FM1003 — Access Code Required

Require an access code that is separate from the gift card before refunding gift card value.

FM1008 — Behavior Prevention

Identify potentially fraudulent returns and do not refund money if fraud is detected.

FM1009 — Restocking Fees

Require a fee for potentially fraudulent returns.

FM1010 — Delayed Reimbursement

Postpone refund by a predetermined amount of time for items that are commonly related to fraud.

FM1006 — Training and Awareness

Train customer service representatives to identify potential fraud situations and deny refund.

Detection Opportunities

FD1010 — Transaction data

Monitor and record product serial number of items that are commonly related to fraud.

FD1006 — Velocity Attributes

Monitor returns for total amount and total value of items returned.

References

Industry Partner Collaboration

Checkout: Online/Web Mobile | FT1303.003

Monetization · Digital · All

Description

The fraudster uses digital resources to convert illicit resources into liquid funds.

Mitigations

FM1209 — Online Location Data

Some physical locations should not be able to return items. Some locations may also be the source of repeated fraud attempts. Prevent the ability to return items for funds based on locations.

Detection Opportunities

FD1010 — Transaction data

Monitor and record product serial number of items that are commonly related to fraud.

FD1007 — Network Traffic Attributes

Monitor for Network Traffic Attributes such as IP Address, DNS Name, ASN, and other digital location attributes especially if some of these sources have known fraud activity or have a high risk of fraud activity.

FD1004 — Time-Based Attributes

Based on the location of your operations, monitor for activities that occur during off hours.

FD1005 — Device Attributes

Monitor device factors such as device type, user agent string, operating system, cookies.

FD1006 — Velocity Attributes

Monitor for number of requests based on a predetermined number of requests over a set amount of time.

References

Industry Partner Collaboration

Fraudulent Refund | FT1304

Monetization · Analog | Digital | Social Engineering · Return Fraud

Description

Deliberate exploitation of a retailer's refund process to obtain financial gain or store credit without legitimate grounds. The fraudster initiates a return, often under false pretenses such as claiming damage, misrepresentation, or leveraging policy loopholes, and secures cash refunds, gift cards, or store credit.

Sub-Techniques

Refund to Gift Card FT1304.001, Double Refund FT1304.002, Non-Receipted Returns FT1304.003

Mitigations

FM1015 — Return Limit

Link each order to an individual refund.

Restrict how many times a refund can be requested per order.

Limit the number and total amount of non-receipted returns per customer.

Limit the types of items that can be returned without a receipt.

Only allow in-store credit or gift cards as a refund tender.

FD1003 — Behavioral Attributes

Stop refunds if the same order ID is already refunded.

FM1022 — Escalation

Escalate suspicious repeat attempts to returns.

FM1021 — Identity Verification

Require government-issued ID.

Tie return transaction to customer profile for monitoring.

FM1009 — Restocking Fees

Impose fees on items being returned.

FM1207 — Redemption Limits

Limit the amount of store credit that can be used on a single transaction.

Detection Opportunities

FD1010 — Transaction Data

Identify multiple refund requests for the same order.

Check if item identifiers (IMEI, serial, RFID) can be associated with a prior purchase.

Identify the same return in multiple stores and online.

FD1003 — Behavioral Attributes

Flag accounts that are doing frequent gift card refunds.

Identify in person or Online Identities attempting gift card refund.

Flag accounts attempting frequent non-receipted returns.

Monitor for invalid government ID usage.

Track items frequently returned without receipts at locations associated with high rates of theft.

Compare items against inventory shortage reports.

FD1005 — Device Attributes

Detect repeat attempts from the same computer or phone submitting duplicate requests.

FD1006 — Velocity Attributes

Identify accounts requesting several refunds in a short time.

FD1014 — Credit Redemption Behavior

Monitor for the consolidation of in-store credit gift cards to purchase high-value items or issued to multiple identities (e.g. electronics).

References

Industry Partner Collaboration

Refund: Refund To Gift Card | FT1304.001

Monetization · Digital | Social Engineering · Return Fraud

Description

Exploiting a retailer's refund process by requesting that the refund value be issued as a gift card or store credit rather than returned to the original payment method. Fraudsters favor gift cards because they are highly liquid, easily transferable, and often lack the same fraud detection or traceability controls for credit or debit card refunds. Once obtained, these gift cards can be resold on secondary markets, exchanged for cash, or used to purchase high-value goods for sale, effectively converting fraudulent returns into fungible currency.

Mitigations

FM1003 — Access Code Required

Require an access code before permitting access to resources.

FM1015 — Return Limit

Limit the amount of money that can be refunded.

FM1022 — Escalation

Based on value require Escalation to manager.

Detection Opportunities

FD1010 — Transaction Data

Record serial numbers for refunded gift cards.

FD1003 — Behavioral Attributes

Flag accounts doing frequent gift card refunds.

Identify in person or Online Identities attempting gift card refund.

FD1005 — Device Attributes

Detect repeat attempts from the same computer or phone.

References

Industry Partner Collaboration

Refund: Double Refund | FT1304.002

Monetization · Digital | Social Engineering · Return Fraud

Description

Fraudsters refund the same item multiple times either in multiple stores, online or some combination of both.

Mitigations

FM1015 — Return Limit

Link each order to an individual refund.

Restrict how many times a refund can be requested per order.

FM1022 — Escalation

Escalate repeat attempts to return the same item to manager.

FM1008 — Behavior Prevention

Stop refunds if the same order ID is already refunded.

Detection Opportunities

FD1010 — Transaction Data

Identify multiple refund requests for the same order.

Identify the same return in multiple stores and online.

FD1003 — Behavioral Attributes

Flag accounts doing frequent gift card refunds.

Identify in person or Online Identities attempting gift card refund.

FD1005 — Device Attributes

Detect repeat attempts from the same computer or phone submitting duplicate requests.

FD1006 — Velocity Attributes

Identify accounts requesting several refunds in a short time.

References

Industry Partner Collaboration

Refund: Non-Receipted Returns | FT1304.003

Control · Analog | Digital | and Social Engineering · Return Fraud

Description

Fraudster intentionally misuses the returns process without a valid receipt (or other proof of purchase) to obtain cash refunds, store credit, gift cards, or replacements. The actor exploits no receipt allowances, low evidence thresholds, and minimal inspection.

Mitigations

FM1015 — Return Limit

Limit the number and total amount of non-receipted returns per customer.

Limit the types of items that can be returned without a receipt.

Only allow in-store credit or gift cards as a refund tender.

FM1021 — Identity Verification

Require government-issued ID.

Tie return transaction to customer profile for monitoring.

FM1009 — Restocking Fees

Impose fees on items being returned that have no proof of purchase.

FM1207 — Redemption Limits

Limit the amount of store credit that can be used on a single transaction.

Detection Opportunities

FD1003 — Behavioral Attributes

Flag accounts attempting frequent non-receipted returns.

Monitor for invalid government ID usage.

Track items frequently returned without receipts at locations associated with high rates of theft.

Compare against inventory shortage reports.

FD1010 — Transaction Data

Check if item identifiers (IMEI, serial, RFID) can be associated with a prior purchase.

FD1014 — Credit Redemption Behavior

Monitor for the consolidation of in-store credit gift cards to purchase high value items or issued to multiple identities (e.g. electronics).

References

Industry Partner Collaboration

VOIP Abuse | FT1401

Defense Evasion · Digital · Return Fraud | Gift Card Fraud | Account Takeover

Description

Fraudsters leverage Voice over Internet Protocol (VOIP) services to mask or manipulate their true geographic location and identity during fraudulent transactions. By using VOIP numbers, they can appear to originate from a trusted region or local area, even when operating from a completely different country or jurisdiction. This tactic is designed to evade fraud detection systems that rely on phone number validation, geolocation checks, or call-back verification. These numbers may also be used on seemingly normal account creations.

Mitigations

FM1008 — Behavior Prevention

Do not permit registration of VOIP numbers on accounts or other customer resources.

Detection Opportunities

FD1008 — VOIP Attribute

Identify VOIP phone usage and correlate against customer profile.

Identify high-risk VOIP numbers or multiple accounts with the same VOIP number in your database.

References

Industry Partner Collaboration

Digital Wallet Apps | FT1402

Defense Evasion · Analog | Digital · Return Fraud | Gift Card Fraud

Description

Digital wallet applications (such as Apple Pay, Google Pay, and PayPal) are mobile or web-based platforms that store payment credentials and enable electronic transactions without physical cards. Fraudsters exploit these wallets to evade detection by creating multiple accounts under different identities, masking the original payment source, and requesting refunds to wallet balances instead of the original payment method, making it easier to convert funds into cash, gift cards, or resale value. In addition, fraudsters may load stolen credit, debit and gift cards onto the wallet for reuse.

Mitigations

FM1021 — Identity Verification

Verify the person's identity matches what is on the card in the wallet.

FM1008 — Behavior Prevention

Do not permit multiple use of the same credit, debit, or gift cards within a defined period.

Detection Opportunities**FD1016 — Location Attributes**

Identify impossible travel transactions for the same credit, debit, or gift card.

References

Industry Partner Collaboration

Cryptocurrency | FT1403

Defense Evasion | Control | Monetization · Digital · Return Fraud

Description

Fraudsters in retail exploit cryptocurrency as a tool to hide their tracks and bypass traditional fraud controls. After committing fraud or policy abuse, they often convert refunds or store credits into crypto through gift cards, prepaid instruments, or resale of goods on secondary markets. Crypto's anonymity, lack of centralized oversight, and irreversible transactions make it ideal for laundering value obtained from fraudulent returns. Fraudsters also use multiple wallets, peer-to-peer exchanges, and privacy coins to fragment and obscure transaction history. This enables them to quickly move value across borders and outside retailer monitoring systems, making detection and recovery extremely difficult.

Mitigations**FM1021 – Identity Verification**

Positively verify the identity of the customer.

FM1008 — Behavior Prevention

Do not accept Cryptocurrency in your marketplace.

Detection Opportunities**FD1010 — Transaction data**

Use CTI to correlate and identify crypto wallets that are either suspicious or have been identified as supporting illegal activity or fraud.

References

Industry Partner Collaboration

Gift Cards as Defense Evasion | FT1404

Defense Evasion · Analog | Digital · Return Fraud

Description

Commonly exploited in fraud schemes due to their anonymity, liquidity, and ease of transfer. Fraudsters use them to bypass traditional detection systems by converting stolen funds or merchandise into gift card balances, which are harder to trace.

Mitigations

FM1001 — Primary Gift Card Lock in

For gift cards, lock the gift card into the identity of the purchaser. Do not allow another person to use the gift card without identity verification or authentication.

FM1002 — Login Required

For gift cards, require an account before permitting purchase of or transfer.

Detection Opportunities

FD1010 — Transaction Data

Identify suspicious purchases of commonly resold items with potentially illicitly obtained gift cards.

References

Detecting and Reporting the Illicit Financial Flows Tied to Organized Theft Groups (OTG) and Organized Retail Crime (ORC)

<https://www.acams.org/en/media/document/29436>

Industry Partner Collaboration

Mitigations

Security concepts and technologies that can be used to prevent or disrupt a technique from being successfully executed.

Primary Gift Card Lock In | FM1001

Description

Ensure the purchaser is the only person that can monetize the gift card.

Technique(s) Mitigated

Gift Card Extortion FT1102

Resale FT1301

Resale: Drop Shipping FT1301.001

Resale: Unwitting Buyer FT1301.002

Gift Cards as Defense Evasion FT1404

Gift Card Redemption FT1204

Gift Card Tampering FT1203

Login Required | FM1002

Description

Ensure a resource is tied to an authentication source before allowing activation, use or transfer.

Technique(s) Mitigated

Gift Card Extortion FT1102

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Gift Card Merge FT1202

Resale FT1301

Resale: Drop Shipping FT1301.001

Gift Cards as Defense Evasion FT1404

Gift Card Redemption FT1204

Gift Card Tampering FT1203

Resale: Unwitting Buyer FT1301.002

Access Code Required | FM1003

Description

Require an access code before permitting access to a resource.

Technique(s) Mitigated

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Check Gift Card Balance: Phone Verification FT1103.002

Check Gift Card Balance: In Store Gift Card Verification FT1103.003

Gift Card Merge FT1202

Checkout FT1303

Checkout: Point of Sale FT1303.001

Checkout: Guest Services FT1303.002

Refund: Refund to Gift Card FT1304.001

Multi-Factor Authentication | FM1004

Description

This involves requiring two forms of identification, such as a password and a fingerprint or a password and a one-time code sent to a mobile device.

Technique(s) Mitigated

Valid Accounts FT1104

Valid Accounts: Fraudulent Account FT1104.001

Valid Accounts: Authorized Account Abuse FT1104.003

Loyalty Points Abuse FT1205

Valid Accounts: Fraudulent Account Update FT1104.002

Anti-Theft Prevention | FM1005

Description

Additional physical protection of products from theft (e.g. locked shelving, containers, vending machines, storing items behind checkout counter, etc.).

Technique(s) Mitigated

Shoplifting FT1101

Gift Card Tampering FT1203

Training and Awareness | FM1006

Description

The fraudster uses digital resources to convert illicit resources into liquid funds.

Technique(s) Mitigated

Reconnaissance FT1001

Gift Card Extortion FT1102

Checkout: Guest Services FT1303.002

Fake Receipt Generation FT1009

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Insider Recruitment FT1010

Impersonation of Retail Employee FT1011

Website Takedown Requests | FM1007

Description

A formal request to a website owner, service provider, or domain registrar to remove an offending website.

Technique(s) Mitigated

Fake Pages FT1003

Behavior Prevention | FM1008

Description

Use capabilities to prevent suspicious behavior patterns from occurring on various systems.

Technique(s) Mitigated

Check Gift Card Balance: Phone Verification FT1103.002

Gift Card Merge FT1202

Checkout FT1303

Checkout: Point of Sale FT1303.001

Checkout: Guest Services FT1303.002

Fake Receipt Generation FT1009

Returns Process Exploitation FT1207

Returns Process Exploitation: Shipping Manipulation FT1207.001

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Marketplace Exploitation: Fraudulent Seller FT1302.002

VOIP Abuse FT1401

Digital Wallet Apps FT1402

Cryptocurrency FT1403

Marketplace Exploitation FT1302

Refund: Double Refund FT1304.002

Restocking Fees | FM1009

Description

Impose a fee for product returns.

Technique(s) Mitigated

Checkout FT1303

Checkout: Point of Sale FT1303.001

Checkout: Guest Services FT1303.002

Wardrobing FT1209

Item Manipulation FT1206

Item Manipulation: Harvesting FT1206.001

Item Manipulation: Switch Merchandise FT1206.002

Returns Process Exploitation FT1207

Fraudulent Refund FT1304

Refund: Non-Receipted Returns FT1304.003

Delayed Reimbursement | FM1010

Description

Delay return reimbursement for a predetermined amount of time.

Technique(s) Mitigated

Checkout FT1303

Checkout: Point of Sale FT1303.001

Checkout: Guest Services FT1303.002

Returns Process Exploitation FT1207

Returns Process Exploitation: Shipping Manipulation FT1207.001

Brute Force Resistant Gift Card Numbers | FM1011

Description

Using algorithms to generate long and complicated gift card numbers that are resistant to prediction.

Technique(s) Mitigated

Gift Card Number Generation FT1005

Gift Card Purchase Limit | FM1012

Description

Enforce limits of quantity and/or the value that may be purchased by an interaction or person.

Technique(s) Mitigated

Gift Card Extortion FT1102

DNS Registration | FM1013

Description

Identify potential URLs that may be used to fool individuals and register them to your organization.

Technique(s) Mitigated

Fake Pages FT1003

Password Policy | FM1014

Description

Enforce strong passwords with length and complexity requirements.

Technique(s) Mitigated

Acquire Database FT1004

Valid Accounts FT1104

Loyalty Points Abuse FT1205

Return Limit | FM1015

Description

Do not allow returns over a specified amount.

Technique(s) Mitigated

Gift Card Return FT1201

Fraudulent Refund FT1304

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Refund: Double Refund FT1304.002

Refund: Non-Receipted Returns FT1304.003

Refund: Refund to Gift Card FT1304.001

Returns Process Exploitation: Damaged Shipment FT1207.002

Returns Process Exploitation: Shipping Manipulation FT1207.001

Wardrobing FT1209

Security Guard | FM1016

Description

A person charged with safeguarding the premises, protecting assets, preventing theft, and ensuring the safety of both customers and staff. Their duties typically include monitoring surveillance equipment, patrolling the retail space, managing access points, responding to emergencies, and sometimes assisting in loss prevention strategies. Security guards help deter shoplifting and vandalism, maintain order within the store, and contribute to creating a secure shopping environment. They may also be involved in checking receipts, managing crowd control during peak times or special events, and coordinating with law enforcement when necessary.

Technique(s) Mitigated

Reconnaissance FT1001

Shoplifting FT1101

Gift Card Tampering FT1203

Satchel Control | FM1017

Description

Control the admittance or size of satchels allowed at the location.

Technique(s) Mitigated

Shoplifting FT1101

Software Configuration | FM1018

Description

Harden devices with configurations that can mitigate techniques or harden attack surface.

Technique(s) Mitigated

Reconnaissance FT1001

Neutral Feedback | FM1019

Description

Adversaries will use return codes from public applications to gather information. When providing automatic feedback for failed requests such as accounts, gift cards, password resets, etc., provide an abstract response that does not confirm or deny that the resource exists.

For Example, if a user requests a password reset, instead of stating that the account exists and an email was sent to the email address on file, instead return "If the account exists, an email will be sent to the address on file."

Technique(s) Mitigated

Password Reset FT1006

Customer Notification | FM1020

Description

Send a notification to the original contacts listed on an account or resource when changes are made to the account or resources.

For example, if an address is updated for an account, send an update notification to the email and phone number listed for the resource.

Technique(s) Mitigated

Password Reset FT1006

Identity Verification | FM1021

Description

Positively verify identity of customer with government or store credentials.

Technique(s) Mitigated

Fraudulent Refund FT1304

Refund: Non-Receipted Returns FT1304.003

Digital Wallet Apps FT1402

Impersonation of Retail Employee FT1011

Escalation | FM1022

Description

Require additional Escalation to manager for suspicious cases or based on dollar amount.

Technique(s) Mitigated

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Fraudulent Refund FT1304

Refund: Refund to Gift Card FT1304.001

Refund: Double Refund FT1304.002

Insider Recruitment FT1010

Impersonation of Retail Employee FT1011

Proof Of Purchase | FM1203

Description

Require receipts and ID for high-value returns.

Technique(s) Mitigated

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Returns Process Exploitation FT1207

Delivery Confirmation | FM1204

Description

Only refund after the item is received and verified.

Technique(s) Mitigated

Returns Process Exploitation: Shipping Manipulation FT1207.001

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Marketplace Exploitation: Fraudulent Seller FT1302.002

Marketplace Exploitation FT1302

Proof Of Damage | FM1205

Description

Require customers to submit photos or video evidence of damage.

Require the physical return of damaged goods before issuing a refund.

Technique(s) Mitigated

Returns Process Exploitation: Damaged Shipment FT1207.002

Enhanced Packaging | FM1206

Description

Isolate items that could leak or cause contamination into separate packages.

Use waterproof packaging or tamper-proof seals.

Technique(s) Mitigated

Returns Process Exploitation: Damaged Shipment FT1207.002

Redemption Limits | FM1207

Description

Limit the amount of store credit that can be used on a single transaction.

Technique(s) Mitigated

Fraudulent Refund FT1304

Refund: Non-Receipted Returns FT1304.003

Law Enforcement | FM1208

Description

Report known counterfeiters or other confirmed illegal activity to Law Enforcement for action.

Technique(s) Mitigated

Third Party Supplier Manipulation FT1008

Online Location Data | FM1209

Description

Restrict or block return, balance-check, and verification functions based on the originating location. Certain physical or digital locations should not have access to these functions, and locations associated with repeated fraud activity can be blocked.

Technique(s) Mitigated

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Checkout: Online/Web Mobile FT1303.003

Phone Number | FM1210

Description

Automatically block or flag phone numbers associated with VOIP services or with known fraud activity from accessing balance-check, verification, or account-recovery functions.

Technique(s) Mitigated

Check Gift Card Balance FT1103

Blacklist Known High-Risk Addresses | FM1211

Description

Maintain and enforce a blacklist of shipping and billing addresses associated with prior fraud, freight forwarders, or reshipping operations, and block, hold, or flag orders directed to them.

Technique(s) Mitigated

Marketplace Exploitation FT1302

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Marketplace Exploitation: Fraudulent Seller FT1302.002

Require Signature on Delivery | FM1212

Description

Require signature confirmation at delivery for high-value or high-risk orders to establish proof of receipt and reduce fraudulent non-delivery and item-not-received claims.

Technique(s) Mitigated

Marketplace Exploitation FT1302

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Marketplace Exploitation: Fraudulent Seller FT1302.002

Detection Sources

Telemetry that can be collected to detect fraud that is in progress or has occurred in the past.

Anti-Theft Security Tags | FD 1001

Description

A tag or similar device that is attached to an item that will cause an alarm or otherwise alert security personnel when it is removed without authorization.

Technique(s) Detected

Shoplifting FT1101

Video Surveillance Systems | FD1002

Description

Cameras and related equipment used for monitoring activities in various settings to enhance security, deter crime, and gather evidence when necessary.

Technique(s) Detected

Shoplifting FT1101

Reconnaissance FT1001

Insider Recruitment FT1010

Gift Card Tampering FT1203

Impersonation of Retail Employee FT1011

Behavioral Attributes | FD1003

Description

Information involving user's behavior and habits. For example, a system might use a user's typing pattern, mouse movements, preferred language, or how they navigate an application, etc., to look for deviations from normal or compare similarity to known abuse or fraud patterns.

Technique(s) Detected

Gift Card Extortion FT1102

Valid Accounts FT1104

Credential Stuffing FT1105

Password Reset FT1006

Loyalty Points Abuse FT1205

Item Manipulation FT1206

Item Manipulation: Harvesting FT1206.001

Item Manipulation: Switch Merchandise FT1206.002

Returns Process Exploitation FT1207

Returns Process Exploitation: Shipping Manipulation FT1207.001

Returns Process Exploitation: Damaged Shipment FT1207.002

Fraudulent Refund FT1304

Refund: Refund to Gift Card FT1304.001

Refund: Double Refund FT1304.002

Refund: Non-Receipted Returns FT1304.003

Impersonation of Retail Employee FT1011

Insider Recruitment FT1010

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Marketplace Exploitation FT1302

Time-Based Attributes | FD1004

Description

Time an action occurred that can be compared against a baseline of activity.

Technique(s) Detected

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Check Gift Card Balance: Phone Verification FT1103.002

Valid Accounts FT1104

Valid Accounts: Fraudulent Account FT1104.001

Valid Accounts: Authorized Account Abuse FT1104.003

Checkout: Online/Web Mobile FT1303.003

Loyalty Points Abuse FT1205

Third Party Supplier Manipulation FT1008

Valid Accounts: Fraudulent Account Update FT1104.002

Device Attributes | FD1005

Description

Data related to a user's device, such as a smartphone or laptop, as indicators that identify what type of device and software they are using. For example, a system might require a specific cookie or device identifier, expect a consistent device profile to include screen resolution, memory, operating system, time zone, installed plug-ins or other data that may be used to measure device similarity.

Technique(s) Detected

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Valid Accounts FT1104

Checkout: Online/Web Mobile FT1303.003

Loyalty Points Abuse FT1205

Fraudulent Refund FT1304

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Refund: Double Refund FT1304.002

Refund: Refund to Gift Card FT1304.001

Returns Process Exploitation FT1207

Returns Process Exploitation: Shipping Manipulation FT1207.001

Valid Accounts: Authorized Account Abuse FT1104.003

Valid Accounts: Fraudulent Account FT1104.001

Valid Accounts: Fraudulent Account Update FT1104.002

Velocity Attributes | FD1006

Description

Frequency or unusual velocity of an action compared to baseline by some aggregation value. An action might be gift card balance checks. An aggregation value might be a device identifier, IP address, user account ID, or other value. Optionally there can be a metric aggregation like count, sum, distinct count, average, standard deviation, etc. A concrete example might be looking for a large volume of orders in a short period of time for an account.

Technique(s) Detected

Gift Card Extortion FT1102

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Check Gift Card Balance: In Store Gift Card Verification FT1103.003

Valid Accounts: Authorized Account Abuse FT1104.003

Valid Accounts: Fraudulent Account FT1104.001

Gift Card Merge FT1202

Checkout: Online/Web Mobile FT1303.003

Credential Stuffing FT1105

Password Reset FT1006

Checkout: Guest Services FT1303.002

Checkout: Point of Sale FT1303.001

Fake Receipt Generation FT1009

Fraudulent Refund FT1304

Marketplace Exploitation: Fraudulent Seller FT1302.002

Refund: Double Refund FT1304.002

Returns Process Exploitation: Damaged Shipment FT1207.002

Third Party Supplier Manipulation FT1008

Valid Accounts: Fraudulent Account Update FT1104.002

Wardrobing FT1209

Network Traffic Attributes | FD1007

Description

Metadata about an IP address like whether it is a hosting provider, VPN or Proxy service, Residential network, cellular provider, or residential ISP. This information may also be associated with user accounts or devices to baseline them over time and look for deviations from the usual access patterns.

Technique(s) Detected

Fake Pages FT1003

Check Gift Card Balance FT1103

Check Gift Card Balance: Application FT1103.001

Valid Accounts FT1104

Valid Accounts: Fraudulent Account FT1104.001

Valid Accounts: Authorized Account Abuse FT1104.003

Checkout: Online/Web Mobile FT1303.003

Loyalty Points Abuse FT1205

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Marketplace Exploitation FT1302

Reconnaissance FT1001

Valid Accounts: Fraudulent Account Update FT1104.002

VOIP Attribute | FD1008

Description

A VOIP (Voice over Internet Protocol) number is a virtual phone number that is not tied to physical telephones or mobile phones. These numbers are highly portable and may be swapped and reused.

Technique(s) Detected

Check Gift Card Balance FT1103

Check Gift Card Balance: Phone Verification FT1103.002

VOIP Abuse FT1401

Online Identities | FD1009

Description

Email addresses, Telegram usernames, social media handles, accounts, etc., that have been the source of fraudulent activities.

Technique(s) Detected

Reconnaissance FT1001

Acquire Database FT1004

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Valid Accounts: Fraudulent Account Update FT1104.002

Transaction Data | FD1010

Description

Records that are related to transactions in-store or online.

Technique(s) Detected

Resale FT1301

Gift Card Return FT1201

Gift Card Merge FT1202

Resale: Drop Shipping FT1301.001

Checkout: Point of Sale FT1303.001

Checkout: Guest Services FT1303.002

Checkout: Online/Web Mobile FT1303.003

Third Party Supplier Manipulation FT1008

Fake Receipt Generation FT1009

Item Manipulation FT1206

Item Manipulation: Switch Merchandise FT1206.002

Returns Process Exploitation FT1207

Returns Process Exploitation: Shipping Manipulation FT1207.001

Fraudulent Refund FT1304

Refund: Refund to Gift Card FT1304.001

Refund: Double Refund FT1304.002

Refund: Non-Receipted Returns FT1304.003

Cryptocurrency FT1403

Gift Cards as Defense Evasion FT1404

Checkout FT1303

Gift Card Redemption FT1204

Market Resale Data | FD1011

Description

Monitor sales of items through third-party market monitoring and other resale data.

Technique(s) Detected

Resale: Unwitting Buyer FT1301.002

Controlled Purchase | FD1012

Description

Purchase items from Third Party Supplier to identify indicators of fraud.

Technique(s) Detected

Third Party Supplier Manipulation FT1008

Item Condition & Tag Checks | FD1013

Description

Ensure item is returned with all its components such as packaging, accessories, and documentation in good condition.

Verify additional attributes such as weight, general wear and tear.

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Technique(s) Mitigated

Wardrobing FT1209

Credit Redemption Behavior | FD1014

Description

Monitor for the consolidation of in-store credit gift cards to purchase high value items or issued to multiple identities (e.g. electronics).

Technique(s) Detected

Fraudulent Refund FT1304

Refund: Non-Receipted Returns FT1304.003

Location Attributes | FD1016

Description

Identify mismatch between billing and shipping address.

Identify illegitimate or fake addresses.

Technique(s) Detected

Marketplace Exploitation FT1302

Marketplace Exploitation: Fraudulent Delivery FT1302.001

Digital Wallet Apps FT1402

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